

# Tata Steel Ltd

TATASTEEL

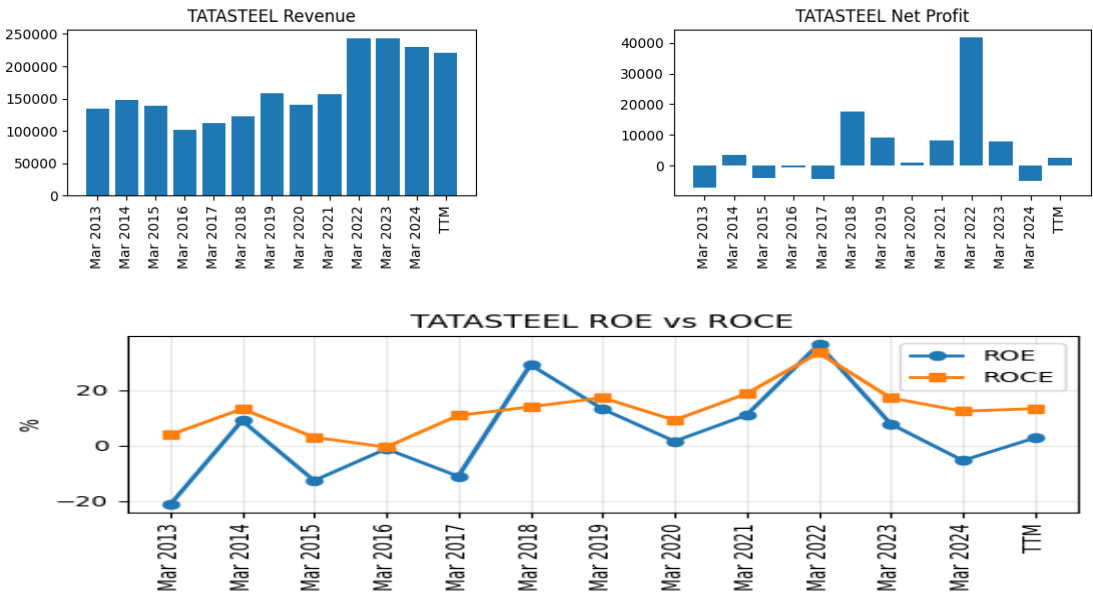
## Key Financial Metrics

|                              |                                   |                               |
|------------------------------|-----------------------------------|-------------------------------|
| <b>ROE</b><br>2.80%          | <b>ROCE</b><br>13.36%             | <b>Debt / Equity</b><br>1.10  |
| <b>Revenue CAGR</b><br>4.95% | <b>FCF Conversion</b><br>-413.46% | <b>Quality Score</b><br>22.97 |

## Company Profile

|                          |                |
|--------------------------|----------------|
| <b>Company</b>           | Tata Steel Ltd |
| <b>Sector</b>            | Materials      |
| <b>Industry</b>          | Steel          |
| <b>Market Cap (■ Cr)</b> | 369,110.65     |
| <b>P/E Ratio</b>         | 48.97          |
| <b>P/B Ratio</b>         | 9.23           |
| <b>Dividend Yield</b>    | 1.00%          |

## Financial Performance



## AI Investment Summary

Tata Steel Ltd currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, average capital efficiency, limited revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 23.0/100. Key strengths include: Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: Low revenue growth may indicate a lack of business momentum.; Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

|                                                                                                                                                    |                                                                                                                                                                                                                                             |
|----------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Pros</b> <ul style="list-style-type: none"><li>• Strong free cash flow generation over 5 years signals healthy business fundamentals.</li></ul> | <b>Cons</b> <ul style="list-style-type: none"><li>• Low revenue growth may indicate a lack of business momentum.</li><li>• Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.</li></ul> |
|----------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

Investment Recommendation

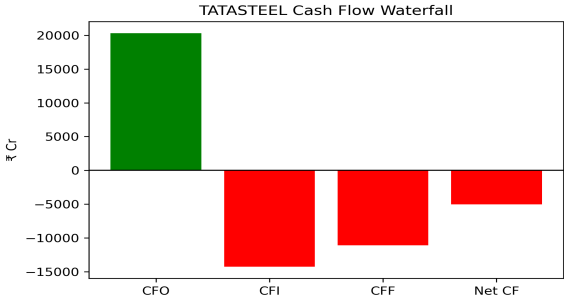
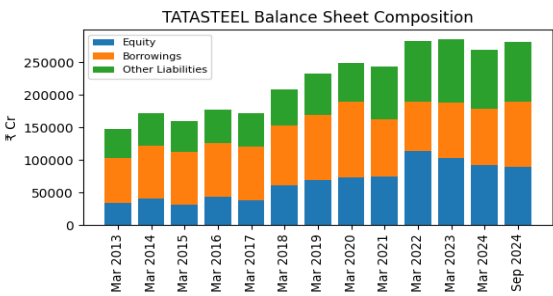
|                |           |
|----------------|-----------|
| Recommendation | AVOID     |
| Risk Level     | VERY HIGH |
| Confidence     | LOW       |

Recommendation Reason:

The recommendation is based on an adjusted financial score of 23.0/100, supported by 1 identified strengths, 2 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 23.0

Balance Sheet & Cash Flow



Financial Health

|               |           |
|---------------|-----------|
| Profitability | Weak      |
| Growth        | Weak      |
| Cash Flow     | Strong    |
| Leverage      | Weak      |
| Valuation     | Expensive |

Capital Allocation

Shareholder Returns